

Amāna Bank



10 years
of people friendly banking

Amana Bank PLC (PB 3618 PQ)

Interim Financial Statements

31 December 2022

Vision

To be an admired leader in providing equitable financial solutions, not limited to numerics, but also in earning the trust of our customers, employees, shareholders and country.

Mission

To adopt a unique and people friendly approach in banking with a passion for continuous improvement, enabling growth and enriching lives.

STATEMENT OF PROFIT OR LOSS

FOR THE YEAR ENDED

	FOR THE YEAR ENDED 31 DECEMBER			FOR THE QUARTER ENDED 31 DECEMBER		
	2022 (AUDITED) (Rs '000)	2021 (AUDITED) (Rs '000)	Change %	2022 (AUDITED) (Rs '000)	2021 (AUDITED) (Rs '000)	Change %
Financing Income	12,113,113	7,674,187	58%	4,021,267	2,069,631	94%
Financing Expenses	(7,344,488)	(3,418,694)	115%	(2,356,553)	(985,612)	139%
Net Financing Income	4,768,625	4,255,493	12%	1,664,714	1,084,019	54%
Net Fee and Commission Income	750,312	401,922	87%	234,083	149,819	56%
Net Trading Income	864,699	155,105	457%	227,553	262,531	(13%)
Net Gains / (Losses) from Financial Investments at Fair Value through Profit or Loss	(21,646)	(7,013)	209%	(13,712)	(1,181)	1,061%
Net Gains / (Losses) from Derecognition of Financial Assets	(1,453)	(11,732)	(88%)	(1,196)	(12,713)	(91%)
Net Other Operating Income	5,158	5,227	(1%)	2,157	1,854	16%
Total Operating Income	6,365,695	4,799,002	33%	2,113,599	1,484,329	42%
Impairment Charges	(1,638,483)	(784,952)	109%	(879,920)	(370,989)	137%
Net Operating Income	4,727,212	4,014,050	18%	1,233,679	1,113,340	11%
Personnel Expenses	1,488,371	1,399,260	6%	392,403	383,712	2%
Depreciation and Amortisation of Property, Plant, Equipment and Right-of-Use Assets	325,934	338,317	(4%)	99,187	99,762	(1%)
Other Operating Expenses	1,176,643	831,828	41%	329,852	189,114	74%
Total Operating Expenses	2,990,948	2,569,405	16%	821,442	672,588	22%
Operating Profit Before VAT on Financial Services & Social Security Contribution Levy	1,736,264	1,444,645	20%	412,237	440,752	(6%)
VAT on Financial Services & Social Security Contribution Levy	(528,989)	(363,632)	45%	(144,950)	(95,992)	51%
Profit Before Tax	1,207,275	1,081,013	12%	267,287	344,760	(22%)
Tax Expenses	(419,098)	(256,316)	64%	(79,603)	46,730	(270%)
Profit for the Period	788,177	824,697	(4%)	187,684	391,490	(52%)
Earnings Per Share - Basic / Diluted (in Rs.)	0.28	0.30	(4%)	0.07	0.14	(52%)

STATEMENT OF COMPREHENSIVE INCOME

FOR THE YEAR ENDED

	FOR THE YEAR ENDED 31 DECEMBER			FOR THE QUARTER ENDED 31 DECEMBER		
	2022 (AUDITED) (Rs '000)	2021 (AUDITED) (Rs '000)	Change %	2022 (AUDITED) (Rs '000)	2021 (AUDITED) (Rs '000)	Change %
Profit for the Period	788,177	824,697	(4%)	187,684	391,490	(52%)
Other Comprehensive Income/(Loss)						
Other Comprehensive Income not to be Reclassified to Profit or Loss in Subsequent Periods:						
Financial Assets - Fair Value through Other Comprehensive Income:						
Net Gain / (Loss) on Financial Assets - Fair Value through Other Comprehensive Income	(13,505)	54,018	(125%)	2,701	89,130	(97%)
	(13,505)	54,018	(125%)	2,701	89,130	(97%)
Retirement Benefit Liability	22,399	42,661	(47%)	22,399	42,661	(47%)
Deferred Tax Effect on Retirement Benefit Liability	(6,720)	(10,239)	(34%)	(6,720)	(10,239)	(34%)
Revaluation Surplus on Property, Plant and Equipment	-	274,906	(100%)	-	274,906	(100%)
Deferred Tax Effect on Revaluation Surplus (net)	(67,325)	(14,589)	361%	(67,325)	(59,472)	13%
	(51,646)	292,739	(118%)	(51,646)	247,856	(121%)
Net Comprehensive Income not to be Reclassified to Profit or Loss in Subsequent Periods:	(65,151)	346,757	(119%)	(48,945)	336,986	(115%)
Other Comprehensive Income / (Loss) for the Period Net of Tax	(65,151)	346,757	(119%)	(48,945)	336,986	(115%)
Total Comprehensive Income for the Period	723,026	1,171,454	(38%)	138,739	728,476	(81%)

STATEMENT OF FINANCIAL POSITION

AS AT

	31 DEC 2022 (AUDITED) (Rs' 000)	31 DEC 2021 (AUDITED) (Rs' 000)	Change %
Assets			
Cash and Cash Equivalents	22,603,294	8,673,811	161%
Balances with Central Bank of Sri Lanka	5,085,679	4,800,027	6%
Placements with Banks	24,570,292	27,302,269	(10%)
Placements with Licensed Finance Companies	77	73	5%
Derivative Financial Assets	70,733	510,066	(86%)
Financial Assets Designated at Fair Value through Profit or Loss	59,561	64,634	(8%)
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	83,185,917	75,816,397	10%
Financial Assets Measured at Fair Value through Other Comprehensive Income	332,505	346,010	(4%)
Other Assets - Financial	2,323,566	1,213,996	91%
Property, Plant, Equipment And Right-of-Use Assets	2,466,761	2,447,150	1%
Intangible Assets	319,253	232,835	37%
Other Assets - Non Financial	262,467	449,563	(42%)
Deferred Tax Assets	407,786	52,072	683%
Total Assets	141,687,891	121,908,903	16%
Liabilities			
Due to Banks	11,856,723	9,009,986	32%
Derivative Financial Liabilities	20,880	783,200	(97%)
Financial Liabilities at Amortised Cost - Due to Depositors	112,546,017	96,157,776	17%
Other Liabilities - Financial	2,041,967	1,696,127	20%
Current Tax Liabilities	645,606	419,795	54%
Dividend Payable	6,351	6,459	(2%)
Retirement Benefit Liability	109,412	131,081	(17%)
Other Liabilities - Non Financial	99,580	65,945	51%
Total Liabilities	127,326,536	108,270,369	18%
Shareholders' Funds			
Stated Capital	11,348,821	11,079,706	2%
Statutory Reserve Fund	197,102	157,693	25%
Revaluation Reserve	1,008,277	1,076,688	(6%)
Fair Value Reserve	85,393	98,898	(14%)
Retained Earnings	1,721,762	1,225,549	40%
Total Equity	14,361,355	13,638,534	5%
Total Liabilities and Shareholders' Funds	141,687,891	121,908,903	16%
Net Asset Value per Ordinary Share	5.16	5.07	
Commitments and Contingencies	34,094,313	67,801,327	
Memorandum Information			
Number of Employees	797	777	
Number of Branches	33	33	

CERTIFICATION:

I certify that these Financial Statements comply with the requirements of the Companies Act No. 07 of 2007.

M. Ali Wahid

Chief Financial Officer
18 February 2023

We, the undersigned, being Chairman and Managing Director / Chief Executive Officer of Amana Bank PLC certify jointly that:-

(a) the above statements have been prepared in compliance with the format and definitions prescribed by the Central Bank of Sri Lanka and Rule 7.4 of Colombo Stock Exchange.

(b) the information contained in these statements have been extracted from the audited Financial Statements of the Bank.

Ali Asghar Akbarally
Chairman
18 February 2023

Mohamed Azmeer
Managing Director / Chief Executive Officer
18 February 2023

STATEMENT OF CHANGES IN EQUITY
RUPEES IN THOUSANDS

	Stated Capital	Statutory Reserve Fund	Revaluation Reserve	Fair Value Reserve	Retained Earnings	Total
						AUDITED
As at 31 December 2020	10,819,561	116,458	817,457	44,880	668,922	12,467,278
Profit for the year ended 31 December 2021	-	-	-	-	824,698	824,698
Total Comprehensive Income for the year ended 31 December 2021	-	-	260,317	54,018	32,423	346,758
Scrip Dividend - 2021	260,145				(260,145)	-
Share Issue Expenses					(200)	(200)
Transfers to Statutory Reserve Fund	-	41,235	-	-	(41,235)	-
Transferred to Retained Earnings	-	-	(1,086)	-	1,086	-
As at 31 December 2021	11,079,706	157,693	1,076,688	98,898	1,225,549	13,638,534
Profit for the year ended 31 December 2021	-	-	-	-	788,177	788,177
Total Comprehensive Income for the year ended 31 December 2021	-	-	(67,325)	(13,505)	15,679	(65,151)
Scrip Dividend - 2021	269,115	-	-	-	(269,115)	-
Share Issue Expenses	-	-	-	-	(205)	(205)
Transfers to Statutory Reserve Fund	-	39,409	-	-	(39,409)	-
Transferred to Retained Earnings	-	-	(1,086)	-	1,086	-
As at 31 December 2022	11,348,821	197,102	1,008,277	85,393	1,721,762	14,361,355

STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED

	FOR THE YEAR ENDED 31 DECEMBER	
	2022 AUDITED (Rs. '000)	2021 AUDITED (Rs. '000)
Cash Flows from Operating Activities		
Financing Income Received	11,693,445	7,246,032
Fees and Commission Received	748,860	390,190
Financing Expenses Paid	(6,463,893)	(3,353,864)
Foreign Exchange Income	862,745	155,105
Gratuity Payments Made	(28,185)	(13,466)
Payments to Employees and Suppliers	(3,165,089)	(2,578,177)
Operating Profit/(Loss) before Changes in Operating Assets and Liabilities	3,647,883	1,845,820
(Increase) / Decrease in Operating Assets		
Financing and Receivable to Other Customers	(8,923,852)	(14,022,679)
Other Assets	(1,245,503)	189,873
Balance with Central Bank of Sri Lanka	(285,652)	6,610,444
Increase / (Decrease) in Operating Liabilities		
Due to Other Customers	15,547,636	12,577,709
Due to Banks	2,846,737	7,042,093
Other Liabilities	(143,860)	347,551
Net Cash Flow from Operating Activities before Income Tax	11,443,389	14,590,811
Income Tax Paid	(444,759)	(462,066)
Net Cash From / (Used In) Operating Activities	10,998,630	14,128,745
Cash Flows From/(Used In) Investing Activities		
Acquisition of Property, Plant & Equipment	(65,868)	(83,814)
Proceeds from Sale of Property, Plant and Equipment	316	130
Acquisition of Intangible Assets	(137,746)	(34,280)
Investments in Placements with Banks	3,149,994	2,969,402
Investments in Placements with Licensed Finance Companies	(4)	(15,155,103)
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	(16,573)	(15,724)
Dividend Received from Financial Assets	4,844	5,097
Net Cash From / (Used In) Investing Activities	2,934,963	(12,314,292)
Cash Flows From / (Used In) Financing Activities		
Share Issue Expenses	(205)	(200)
Dividend Paid	(107)	(67)
Net Cash From / (Used In) Financing Activities	(312)	(267)
Net Increase / (Decrease) in Cash and Cash Equivalents	13,933,281	1,814,186
Cash and Cash Equivalents at the Beginning of the Year	8,674,643	6,860,457
Cash and Cash Equivalents at the End of the Period - Gross of Allowance for Impairment	22,607,924	8,674,643

CASH AND CASH EQUIVALENTS

	2022 AUDITED (Rs. '000)	2021 AUDITED (Rs. '000)
Cash in Hand	5,621,229	4,985,324
Balances with Banks	16,986,695	3,689,319
	22,607,924	8,674,643
Less: Allowance for Impairment Losses	(4,629)	(533)
Total	22,603,295	8,674,110

NOTES TO THE FINANCIAL STATEMENTS

01. ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

Financial instruments are measured on an ongoing basis either at fair value or at amortised cost. The summary of significant accounting policies stated in the Annual Financial Statements describes how the classes of financial instruments are measured, and how income and expenses, including fair value gains and losses, are recognised. The following table analyses the carrying amounts of the financial instruments by category as defined in SLFRS 9 and by headings of the Statement of Financial Position.

				RUPEES IN THOUSANDS
	FAIR VALUE THROUGH PROFIT OR LOSS	AMORTIZED COST	FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	TOTAL AS AT 31.12.2022 (AUDITED)
Financial Assets				
Cash and Cash Equivalents	-	22,603,294	-	22,603,294
Balances with Central Bank of Sri Lanka	-	5,085,679	-	5,085,679
Placements with Banks	-	24,570,292	-	24,570,292
Placements with Licensed Finance Companies	-	77	-	77
Derivative Financial Assets	70,733	-	-	70,733
Financial Assets Designated at Fair Value through Profit or Loss	59,561	-	-	59,561
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	-	83,185,917	-	83,185,917
Financial Assets measured at Fair Value through Other Comprehensive Income	-	-	332,505	332,505
Other Assets - Financial	-	2,323,566	-	2,323,566
Total Financial Assets	130,294	137,768,825	332,505	138,231,624
Financial Liabilities				
Due to Banks	-	11,856,723	-	11,856,723
Derivative Financial Liabilities	20,880	-	-	20,880
Financial Liabilities at Amortised Cost - Due to Depositors	-	112,546,017	-	112,546,017
Other Liabilities - Financial	-	2,041,967	-	2,041,967
Total Financial Liabilities	20,880	126,444,707	-	126,465,587

	FAIR VALUE THROUGH PROFIT OR LOSS	AMORTIZED COST	FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	TOTAL AS AT 31.12.2021 (AUDITED)
Financial Assets				
Cash and Cash Equivalents	-	8,673,811	-	8,673,811
Balances with Central Bank of Sri Lanka	-	4,800,027	-	4,800,027
Placements with Banks	-	27,302,269	-	27,302,269
Placements with Licensed Finance Companies	-	73	-	73
Derivative Financial Assets	510,066	-	-	510,066
Financial Assets Designated at Fair Value through Profit or Loss	64,634	-	-	64,634
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	-	75,816,397	-	75,816,397
Financial Assets measured at Fair Value through Other Comprehensive Income	-	-	346,010	346,010
Other Assets - Financial	-	1,213,996	-	1,213,996
Total Financial Assets	574,700	117,806,573	346,010	118,727,283
Financial Liabilities				
Due to Banks	-	9,009,986	-	9,009,986
Derivative Financial Liabilities	783,200	-	-	783,200
Financial Liabilities at Amortised Cost - Due to Depositors	-	96,157,776	-	96,157,776
Other Liabilities - Financial	-	1,696,127	-	1,696,127
Total Financial Liabilities	783,200	106,863,889	-	107,647,089

02. FINANCING AND RECEIVABLES TO OTHER CUSTOMERS

RUPEES IN THOUSANDS

ANALYSIS OF FINANCING AND RECEIVABLES TO OTHER CUSTOMERS	31.12.2022 (AUDITED)	31.12.2021 (AUDITED)
Gross Financing and Receivables to Other Customers	87,105,789	78,185,981
Accumulated Impairment		
Stage 1	(980,929)	(876,662)
Stage 2	(1,711,996)	(602,429)
Stage 3	(1,226,947)	(890,493)
Net Financing and Receivables to Other Customers	83,185,917	75,816,397

NOTES TO THE FINANCIAL STATEMENTS

ANALYSIS OF FINANCING AND RECEIVABLES TO OTHER CUSTOMERS - (Contd...)

FINANCING AND RECEIVABLES TO OTHER CUSTOMERS - BY PRODUCT

By Product - Domestic Currency	RUPEES IN THOUSANDS	
	31.12.2022 (AUDITED)	31.12.2021 (AUDITED)
Overdraft	6,438,293	6,488,707
Trade Finance	798,553	1,117,244
Lease Receivables	4,189,836	4,958,226
Staff Facilities	826,907	812,259
Term Financing	56,982,012	53,222,170
Gold Facilities	12,741,591	7,979,484
Others	538,731	830,894
Sub Total	82,515,923	75,408,984
By Product - Foreign Currency		
Overdraft	36,984	20,061
Term Financing	4,502,467	2,639,988
Trade Finance	45,592	55,750
Others	4,823	61,198
Sub Total	4,589,866	2,776,997
Total	87,105,789	78,185,981

03. IMPAIRMENT ALLOWANCE FOR FINANCING AND RECEIVABLES TO OTHER CUSTOMERS

A reconciliation of the allowance for impairment losses for Financing and Receivables to Other Customers, under SLFRS 9 is as follows:

	RUPEES IN THOUSANDS			
	STAGE 1	STAGE 2	STAGE 3	TOTAL IMPAIRMENT (AUDITED)
ECL allowance as at 1 January 2022 under SLFRS 9	876,662	602,429	890,493	2,369,584
Charge/(Write Back) for the year	104,267	1,109,567	340,499	1,554,333
Amounts written off	-	-	(4,045)	(4,045)
As at 31 December 2022	980,929	1,711,996	1,226,947	3,919,872

	RUPEES IN THOUSANDS			
	STAGE 1	STAGE 2	STAGE 3	TOTAL IMPAIRMENT (AUDITED)
ECL allowance as at 1 January 2021 under SLFRS 9	353,622	635,181	702,743	1,691,546
Charge/(Write Back) for the year	523,040	(32,752)	282,960	773,248
Amounts written off			(95,210)	(95,210)
As at 31 December 2021	876,662	602,429	890,493	2,369,584

NOTES TO THE FINANCIAL STATEMENTS

04. COMMITMENTS AND CONTINGENCIES

ANALYSIS OF COMMITMENTS AND CONTINGENCIES	RUPEES IN THOUSANDS	
	31.12.2022 (AUDITED)	31.12.2021 (AUDITED)
Gross Commitments and Contingencies	34,188,931	67,817,283
Accumulated Impairment		
Stage 1	(61,469)	(15,533)
Stage 2	(25,480)	(396)
Stage 3	(7,669)	(27)
Net Financing and Receivables to Other Customers	34,094,313	67,801,327

FINANCING AND RECEIVABLES TO OTHER CUSTOMERS - BY PRODUCT

	RUPEES IN THOUSANDS	
	31.12.2022 (AUDITED)	31.12.2021 (AUDITED)
Commitments for Unutilised Facilities	8,478,680	14,558,407
Letters of Credit	495,549	2,821,717
Guarantees, Bonds	4,888,624	3,379,042
Outward Clearing Cheques	902,611	618,211
Acceptances	3,410,237	2,745,909
Bills for Collection and Others	2,177,202	1,640,159
Promissory Forward Sales	4,693,278	18,641,544
Promissory Forward Purchases	9,142,750	23,412,294
Total	34,188,931	67,817,283

05. DUE TO OTHER CUSTOMERS - BY PRODUCT

ANALYSIS OF DEPOSITS	RUPEES IN THOUSANDS	
	31.12.2022 (AUDITED)	31.12.2021 (AUDITED)
By Product - Domestic Currency		
Demand Deposits	6,560,096	6,028,381
Savings Deposits	33,531,546	34,538,755
Time Deposits	45,487,820	42,395,296
Sub Total	85,579,462	82,962,432
By Product - Foreign Currency		
Demand Deposits	1,723,386	547,019
Savings Deposits	6,062,621	2,851,566
Time Deposits	19,180,548	9,796,759
Sub Total	26,966,555	13,195,344
Total	112,546,017	96,157,776

NOTES TO THE FINANCIAL STATEMENTS

06. FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES

All financial assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, as described below.

- Level 1 Quoted price (unadjusted) in active markets for the identical assets or liabilities. This level includes listed equity securities and debt
- Level 2 Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly
- Level 3 Inputs for asset or liability that are not based on observable market data (unobservable inputs). This level includes equity instruments and

	RUPEES IN THOUSANDS			
	LEVEL 1	LEVEL 2	LEVEL 3	TOTAL (AUDITED)
As at 31 December 2022				
Financial Assets				
Derivative Financial Assets	-	70,733	-	70,733
Financial Assets Designated at Fair Value through Profit or Loss	59,561	-	-	59,561
Income	329,512	-	2,993	332,505
	389,073	70,733	2,993	462,799
Financial Liabilities				
Derivative Financial Liabilities	-	20,880	-	20,880
	-	20,880	-	20,880

	RUPEES IN THOUSANDS			
	LEVEL 1	LEVEL 2	LEVEL 3	TOTAL (AUDITED)
As at 31 December 2021				
Financial Assets				
Derivative Financial Assets	-	510,066	-	510,066
Financial Assets Designated at Fair Value through Profit or Loss	64,634	-	-	64,634
Income	343,017	-	2,993	346,010
	407,651	510,066	2,993	920,710
Financial Liabilities				
Derivative Financial Liabilities	-	783,200	-	783,200
	-	783,200	-	783,200

Derivative Financial Assets and Liabilities:

Derivative products are promissory forward foreign exchange transactions, valued using a valuation technique with market-observable inputs. The most

Financial Assets Recognised through Profit or Loss - Measured at Fair Value, Financial Assets Measured at Fair Value through Other Comprehensive
The estimated fair values are based on quoted and observable market prices.

Financial Instruments not carried at Fair Value

Set out below is a comparison, by class, of the carrying amounts and fair values of the Bank's financial instruments that are not carried at fair value in the

	RUPEES IN THOUSANDS			
	31.12.2022		31.12.2021	
	CARRYING VALUE (AUDITED)	FAIR VALUE (AUDITED)	CARRYING VALUE (AUDITED)	FAIR VALUE (AUDITED)
Financial Assets				
Cash and Cash Equivalents	22,603,294	22,603,294	8,673,812	8,673,812
Balance with Central Bank of Sri Lanka	5,085,679	5,085,679	4,800,027	4,800,027
Placements with Banks	24,570,292	24,573,057	27,302,269	27,303,384
Placements with Other Companies	77	77	73	73
Customers	83,185,917	79,698,416	75,816,397	67,951,887
Other Assets - Financial	2,323,566	2,323,566	1,213,996	1,213,996
	137,768,825	134,284,089	117,806,574	109,943,179
Financial Liabilities				
Due to Banks	11,856,723	11,856,723	9,009,986	9,009,986
Financial Liabilities at Amortised Cost - Due to Depositors	112,546,017	112,546,017	96,157,776	96,157,776
Other Liabilities - Financial	2,041,967	2,041,967	1,696,127	1,696,127
	126,444,707	126,444,707	106,863,889	106,863,889

The following describes the methodologies and assumptions used to determine fair values for those financial instruments which are not already recorded

Balances with Banks, Balances with Licensed Finance Companies, Other Financial Assets and Other Financial Liabilities

For the above, which includes only instruments with maturities of less than 12 months, the carrying value is a reasonable estimate of fair values.

Financial Assets at Amortised Cost - Financing and Receivables to Other Customers

The fair value of the above are estimated by discounting the estimated future cash flows using the prevailing market rates for financing as of the

Financial Liabilities at Amortised Cost - Due to Depositors

The fair values of the above are deemed to approximate their carrying amounts as rate of returns are determined at the end of their holding periods

NOTES TO THE FINANCIAL STATEMENTS

07. SELECTED PERFORMANCE INDICATORS (AS PER REGULATORY REPORTING)

	AS AT 31.12.2022 (AUDITED)	AS AT 31.12.2021 (AUDITED)
Regulatory Capital (LKR '000)		
Common Equity Tier 1 *	12,336,541	12,016,737
Tier 1 Capital	12,336,541	12,016,737
Total Capital	14,960,985	13,764,884
Regulatory Capital Ratios (%)		
Common Equity Tier 1 Capital Ratio (Minimum Requirement 7.0%)	13.0%	13.7%
Tier I Capital Ratio (Minimum Requirement 8.5%)	13.0%	13.7%
Total Capital Ratio (Minimum Requirement 12.5%)	15.8%	15.7%
Leverage Ratio % (Minimum Requirement 3%)	7.4%	7.4%
Assets Quality (Quality of Financing and Advance Portfolio)		
Impaired Financing and Advances (Stage 3) Ratio (%)	2.1%	1.7%
Impairment (Stage 3) to Stage 3 Financing and Advances Ratio (%)	37.9%	35.6%
Profitability		
Financing Margin (%)	3.6%	3.8%
Return on Assets (Before Tax)	0.9%	1.0%
Return on Equity	5.6%	6.3%
Regulatory Liquidity		
Statutory Liquid Assets		
- Domestic Banking Unit (Rs. in Millions)	35,744	27,508
- Foreign Currency Banking Unit (USD '000)	1,581	4,099
Statutory Liquid Assets Ratio % (Minimum Requirement 20%)		
- Domestic Banking Unit	N/A	26.9%
- Off-Shore Banking Unit	N/A	45.3%
- Consolidated	28.3%	N/A
Total Stock of High Quality Liquid Assets (Rs. in Millions)	8,256	7,347
Liquidity Coverage Ratio (%) (Minimum Requirement 100%)		
- Rupee (%)	150.3%	165.2%
- All Currency (%)	126.5%	118.5%
Net Stable Funding Ratio (%) (Minimum Requirement 100%)	187.8%	191.2%

* This represents Common Equity Tier 1 (CET1) Capital after applicable adjustments. The CET1 Capital before adjustments is as follows:

- 31.12.2022 (LKR '000)	13,267,685
- 31.12.2021 (LKR '000)	12,522,287

NOTES TO THE FINANCIAL STATEMENTS

08. SEGMENT INFORMATION

The following table presents information on total income, profit, total assets and liabilities regarding the Bank's operating segments.

FOR THE YEAR ENDED 31 DECEMBER 2022	CONSUMER BANKING	BUSINESS BANKING	TOTAL BANKING	TREASURY	RUPEES IN THOUSANDS	
					UNALLOCATED / ELIMINATION	TOTAL (AUDITED)
Income						
Financing Income	3,067,518	6,923,688	9,991,206	2,121,907	-	12,113,113
Net Fee and Commission Income	246,862	477,155	724,017	26,295	-	750,312
Net Trading Gain	-	-	-	864,699	-	864,699
Net Gains / (Losses) from Financial Investments at Fair Value Through Profit or Loss	-	-	-	(21,646)	-	(21,646)
Net Gains / (Losses) from Derecognition of Financial Assets	-	-	-	(1,453)	-	(1,453)
Other Operating Income	-	-	-	5,158	-	5,158
Total Income	3,314,380	7,400,843	10,715,223	2,994,960	-	13,710,183
Less						
Financing Expenses			(6,095,980)	(1,208,519)	(39,989)	(7,344,488)
Impairment On Financial Assets			(1,638,483)	-	-	(1,638,483)
Operating Expenses			(2,113,054)	(877,894)	-	(2,990,948)
Operating Profit Before VAT on FS & SSCL			867,706	908,547	(39,989)	1,736,264
VAT on FS & SSCL						(528,989)
Profit Before Tax						1,207,275
Tax Expenses						(419,098)
Profit After Tax						788,177
Total Assets	26,796,694	56,389,223	83,185,917	47,244,396	11,257,578	141,687,891
Total Liabilities	85,274,795	27,271,222	112,546,017	15,583,483	(802,964)	127,326,536
FOR THE YEAR ENDED 31 DECEMBER 2021	CONSUMER BANKING	BUSINESS BANKING	TOTAL BANKING	TREASURY	RUPEES IN THOUSANDS	
					UNALLOCATED / ELIMINATION	TOTAL (AUDITED)
Income						
Financing Income	2,237,818	4,137,130	6,374,948	1,279,186	20,053	7,674,187
Net Fee and Commission Income	188,973	195,468	384,441	15,059	2,422	401,922
Net Trading Gain	-	-	-	155,105	-	155,105
Net Gains / (Losses) from Financial Investments at Fair Value Through Profit or Loss	-	-	-	(7,013)	-	(7,013)
Net Gains / (Losses) from Derecognition of Financial Assets	-	-	-	(11,732)	-	(11,732)
Other Operating Income	-	-	-	5,227	-	5,227
Total Income	2,426,791	4,332,598	6,759,389	1,435,832	22,475	8,217,696
Less						
Financing Expenses			(3,275,280)	(104,410)	(39,004)	(3,418,694)
Impairment On Financial Assets			(773,247)	(11,705)		(784,952)
Operating Expenses			(1,802,731)	(741,653)	(25,021)	(2,569,405)
Operating Profit Before VAT on Financial Services			908,131	578,064	(41,550)	1,444,645
VAT on Financial Services						(363,632)
Profit Before Tax						1,081,013
Tax Expenses						(256,316)
Profit After Tax						824,697
Total Assets	22,398,558	53,417,839	75,816,397	36,486,221	9,606,285	121,908,903
Total Liabilities	78,289,804	17,879,794	96,169,598	8,668,145	3,432,626	108,270,369

EXPLANATORY NOTES

1. These Interim Financial Statements have been prepared in accordance with LKAS 34 - Interim Financial Reporting and present information required by Listing Rules of Colombo Stock Exchange.
2. The interim condensed Financial Statements do not include all the information and disclosure required in the Annual Financial Statements, and should be read in conjunction with Annual Financial Statements as at 31 December 2022.
3. The accounting policies adopted in the presentation of the interim condensed Financial Statements are consistent with those followed in the preparation of the Bank's Annual Financial Statements for the year ended 31 December 2022.
4. There are no material events that took place after the Statement of Financial Position date which require adjustment to or disclosures in the Financial Statements.
5. Comparative figures have been restated wherever necessary to conform to the current periods presentation.
6. There has not been a significant change in the nature of the contingent liabilities as disclosed in the Annual Report of 2022
7. Market Price of Ordinary Shares (the Bank listed its ordinary shares on the Colombo Stock Exchange on 29 January 2014) :

	2022 LKR	2021 LKR
Last Traded Price as at 31 December	2.90	4.40
Highest Market Price during the quarter ended 31 December	3.60	5.20
Lowest Market Price during the quarter ended 31 December	2.70	3.00

EXPLANATORY NOTES
09. Twenty Largest Shareholders as at 31 December 2022

No	Name of Shareholder	No. of Shares	%
1	IB Growth Fund (Labuan) LLP	658,404,057	23.65%
2	Seylan Bank PLC/Senthilvel Holdings (Pvt) Ltd	278,394,951	10.00%
3	Mr. Mohamed Haji Omar	231,535,306	8.32%
4	Bank Islam Malaysia Berhad	200,958,432	7.22%
5	AB Bank Limited	200,958,431	7.22%
6	Islamic Development Bank	175,916,532	6.32%
7	Akbar Brothers (Pvt) Ltd	175,563,158	6.31%
8	Mr. Farook Kassim	111,021,549	3.99%
9	Hatton National Bank PLC/Almas Holdings (Pvt) Ltd	81,875,185	2.94%
10	Millennium Capital Investments (Pte) Ltd	78,063,626	2.80%
11	Mr. Shafik Kassim	64,452,364	2.32%
12	Mr. Osman Kassim jointly with Mrs. K. Kassim	52,329,465	1.88%
13	Mr. Sattar Kassim	50,403,132	1.81%
14	Mr. Nagi Saleh Mohammed Al Faqih	41,607,591	1.49%
15	Mr. Sathiyamurthy Chandramohan	33,388,821	1.20%
16	Mr. Saifullah Yusoof	17,000,000	0.61%
17	Mr. Ahamed Mihilar Mohamed Fazal Jiffry	15,897,752	0.57%
18	ABC International Limited	13,266,490	0.48%
19	Mr. Feroz Omar	11,400,000	0.41%
20	Abdul Majeed Mohamedu Risvi	8,895,317	0.32%
Sub total		2,501,332,159	89.85%
Other Shareholders (Number of Shareholders 8,396)		282,617,352	10.15%
Total		2,783,949,511	100.00%

Percentage of Public Holding as at 31 December 2022	36.44%
Number of Shareholders	8,356
Float adjusted market capitalisation	Rs 2.94 Bn

Bank complies with the minimum public holding requirement under option 4 as specified by rule 7.13.1 (a) of the Listing Rules of Colombo Stock Exchange

10. Directors' holding in shares as at 31 December 2022

Name	No. of Shares
Mr. Ali Asghar Akbarally	Nil
Mr. Rajiv Dvivedi	Nil
Mr. Dilshan Hettiaratchi	Nil
Mr. Aaron Russell-Davison	Nil
Mr. M Ataur Rahman Chowdhury	Nil
Mr. S M Asim Raza	Nil
Mr. K M P Bin Abdullah	Nil
Mr. Tishan Subasinghe	Nil
Mr. Paul Mercer	Nil
Mr. Omar Farook Kassim	Nil
Mr. Mohamed Adamaly	Nil
Mr. Mohamed Azmeer	556,478